3.1 Economic Crises

In the 1830s, people were moving west. New railroads and canals carried people and goods from state to state. These were good times for the country. Most people thought they'd never end.

MAIN IDEA Andrew Jackson helped destroy the Second Bank of the United States, which had a severe impact on the economy.

THE BANK WAR

Andrew Jackson's domestic policies devastated the lives of Native Americans, but for many white Americans, life was good. The U.S. economy prospered during Jackson's presidency. Much of this prosperity was due to the country's powerful National Bank, the Second Bank of the United States, which played a big role in regulating the economy. Founded in 1816 after the first National Bank's charter, or permit to do business, had expired, the Second Bank was a huge federal bank that held power over smaller banks. It controlled the nation's money supply and, by doing so, kept down **inflation**. Inflation is a decrease in the value of money that causes an increase in the price of goods and services. The Second Bank also provided loans to many people who wanted to buy property or launch businesses.

Jackson hated the Second Bank. For one thing, he didn't trust paper currency or any form of money other than gold or silver. For another, Jackson claimed that the bank, led by its president

Bank Notes

The $5,000 bank note (top) is a copy of one that Nicholas Biddle might have issued to customers taking out a loan. As you can see, the Second Bank used the name "Bank of the United States" on its paper currency.

The 6-cent note (below) is actually a political cartoon commenting on the extent to which money had lost its value after 1837. The bank that supposedly issued the note is the "Humbug Glory Bank"—*humbug* means "false or deceiving." And the images at the top of the note may symbolize Andrew Jackson. The donkey represents the Democratic Party to which Jackson belonged, and the hickory leaf may be a reference to his nickname: "Old Hickory."



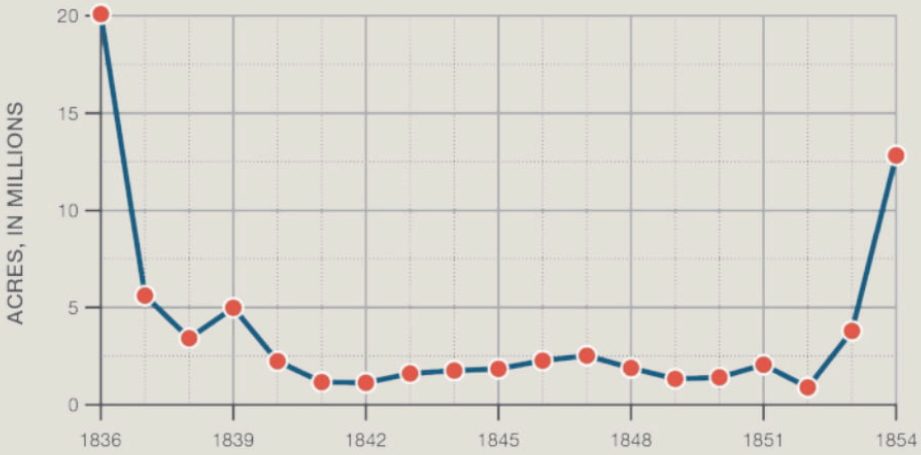


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Land Sales, 1836–1854

The graph shows the impact of the Panic of 1837 on land sales after the government required people to buy land with only gold and silver.

Source: United States Census Bureau



Nicholas Biddle, held a monopoly over all other banks. He thought its policies favored the wealthy over working people. Jackson may also have disliked the bank because it often made loans to members of Congress, possibly giving Biddle influence over the legislators.

The bank became a central issue during the 1832 election. The bank's charter was due to expire in 1836. Jackson's opponent in the 1832 election, National Republican Henry Clay, sponsored a bill to renew the bank's charter early. The bill passed in Congress, but Jackson **vetoed**, or rejected it—and beat Clay in the election.

When Jackson won the presidency in 1832, he believed his victory proved that the people supported his position on the bank. So in the four years that remained of its charter, Jackson waged an all-out war to destroy the bank. He had his treasury secretary withdraw government funds and deposit them in state banks. Jackson's opponents called these state banks his "pet banks." Biddle retaliated by withholding bank loans from customers, but his actions only turned more people against the bank. In time, Jackson got his way, and the Second Bank went out of business.

THE PANIC OF 1837

After the Second Bank closed, people flocked to Jackson's pet banks. These banks made it easier to take out loans. But this easy money led to inflation. During the last years of Jackson's presidency, he required that people use gold or silver to buy land rather than paper money as a way to fight the inflation.

Because the economy still seemed to be in good shape, Jackson's vice president, **Martin Van Buren**, easily won the presidential election in 1836. But within a few weeks of his inauguration, it became clear that the state banks were in trouble. Fear about the condition of the economy spread throughout the country. This widespread fear, or panic, became known as the **Panic of 1837**.

Panicked people ran to the banks to exchange their money for gold and silver, but the banks quickly ran out of the precious metals. When many of the banks closed, businesses collapsed and people lost their jobs and land. Soon, the country sank into a deep economic **depression**, or a period of slow economic activity. States no longer had enough money to finish public projects for developing infrastructure, such as building canals and roads. It wasn't the first depression the nation faced, and it wouldn't be the last. The country's economic problems did not improve during Van Buren's presidency, and he did little to try to resolve them. Van Buren's inaction made him unpopular with the people and set the stage for a change in government and politics.

HISTORICAL THINKING

1. **READING CHECK** Why did Jackson veto the bill to renew the National Bank's charter?
2. **ANALYZE CAUSE AND EFFECT** How did the Panic of 1837 affect the country economically and politically?
3. **INTERPRET GRAPHS** How would you describe land sales between 1836 and 1842?

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